POOLED INTEREST - MUTUAL FUNDS

Learning Outcome

- describe mutual funds and compare them with other pooled investment products

In the asset management industry, a challenge faced by all investors is to find the right set of investment products to meet their needs. There is a diverse set of investment products available to investors, ranging from a simple brokerage account in which the individual creates her own portfolio by assembling individual securities, to large institutions that employ individual portfolio managers to meet clients' investment management needs. Among the major investment products offered by asset managers are mutual funds and other pooled investment products, such as separately managed accounts, exchange-traded funds, hedge funds, and private equity/venture capital funds.

Mutual Funds

Rather than assemble a portfolio on their own, individual investors and institutions can turn over the selection and management of their investment portfolio to a third party. One way of doing this is through a **mutual fund**. This type of fund is a comingled investment pool in which investors in the fund each have a pro-rata claim on the income and value of the fund. The value of a mutual fund is referred to as the "net asset value." It is computed daily based on the closing price of the securities in the portfolio.

Mutual funds represent a primary investment product of individual investors globally. According to the International Investment Funds Association, worldwide regulated open-end fund assets totaled US$50 trillion as of the first quarter of 2018. Exhibit 21 shows the growth of global open-end funds over the past five years by region. Mutual funds provide several advantages, including low investment minimums, diversified portfolios, daily liquidity, and standardized performance and tax reporting.

Exhibit 21:

Worldwide Regulated Open-End Funds: Total Net Assets (as of year-end, in US$ trillions)

	2011	2012	2013	2014	2015	2016	Q1 2018
World	**27.9**	**31.9**	**36.3**	**38.0**	**38.2**	**40.4**	**50.0**
Americas	14.6	16.5	18.9	20.0	19.6	21.1	24.9
Europe	10.3	11.9	13.6	13.8	13.7	14.1	18.1
Asia and Pacific	2.9	3.3	3.7	4.1	4.7	5.0	6.8
Africa	0.1	0.1	0.1	0.1	0.1	0.1	0.2

Notes: Components may not add to the total because of rounding. Regulated open-end funds include mutual funds, exchange-traded funds (ETFs), and institutional funds.
Source: International Investment Funds Association (IIFA).

Mutual funds are one of the most important investment vehicles for individuals and institutions. The best way to understand how a mutual fund works is to consider a simple example. Suppose that an investment firm wishes to start a mutual fund with a target amount of US$10 million. It is able to reach this goal through investments from five individuals and two institutions. The investment of each is as follows:

Investor	Amount Invested (US$)	Percent of Total	Number of Shares
Individuals			

C	0.5	5	5,000
D	2.0	20	20,000
E	0.5	5	5,000
Institutions			
X	2.0	20	20,000
Y	3.0	30	30,000
Totals	**$10.0 million**	**100%**	**100,000**

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Based on the US$10 million value (net asset value), the investment firm sets a total of 100,000 shares at an initial value of US$100 per share (US$10 million/100,000 = US$100). The investment firm will appoint a portfolio manager to be responsible for the investment of the US$10 million. Going forward, the total value of the fund or net asset value will depend on the value of the assets in the portfolio.

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The fund can be set up as an open-end fund or a closed-end fund. If it is an **open-end fund**, it will accept new investment money and issue additional shares at a value equal to the net asset value of the fund at the time of investment. For example, assume that at a later date the net asset value of the fund increases to US$12 million and the new net asset value per share is US$120. A new investor, F, wishes to invest US$0.96 million in the fund. If the total value of the assets in the fund is now US$12 million or US$120 per share, in order to accommodate the new investment the fund would create 8,000 (US$0.96 million/US$120) new shares. After this investment, the net asset value of the fund would be US$12.96 million and there would be a total of 108,000 shares.

Funds can also be withdrawn at the net asset value per share. Suppose on the same day Investor E wishes to withdraw all her shares in the mutual fund. To accommodate this withdrawal, the fund will have to liquidate US$0.6 million in assets to retire 5,000 shares at a net asset value of US$120 per share (US$0.6 million/US$120). The combination of the inflow and outflow on the same day would be as follows:

Type	Investment (US$)	Shares
Inflow (Investor F buys)	$960,000	8,000
Outflow (Investor E sells)	–$600,000	–5,000
Net	$360,000	3,000

The net of the inflows and outflows on that day would be US$360,000 of new funds to be invested and 3,000 new shares created. However, the number of shares held and the value of the shares of all remaining investors, except Investor E, would remain the same.

An alternative to setting the fund up as an open-end fund would be to create a **closed-end fund** in which no new investment money is accepted into the fund. New investors invest by buying existing shares, and investors in the fund liquidate by selling their shares to other investors. Hence, the number of outstanding shares does not change. One consequence of this fixed share base is that, unlike open-end funds in which new shares are created and sold at the current net asset value per share, closed-end funds can sell for a premium or discount to net asset value depending on the demand for the shares.

There are advantages and disadvantages to each type of fund. The open-end fund structure makes it easy to grow in size but creates pressure on the portfolio manager to manage the cash inflows and outflows. One consequence of this structure is the need to liquidate assets that the portfolio manager might not want to sell at the time to meet redemptions. Conversely, the inflows require finding new assets in which to invest. As such, open-end funds tend not to be fully invested but rather keep some cash for redemptions not covered by new investments. Closed-end funds do not have these problems, but they do have a limited ability to grow. Of the total net asset value of all US mutual funds at the end of 2017 (US$19 trillion), only approximately 1 percent were in the form of closed-end funds.

load fund, there is no fee for investing in the fund or for redemption but there is an annual fee based on a percentage of the fund's net asset value. **Load funds** are funds in which, in addition to the annual fee, a percentage fee is charged to invest in the fund and/or for redemptions from the fund. In addition, load funds are usually sold through retail brokers who receive part of the upfront fee. Overall, the number and importance of load funds has declined over time.

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